

be pretty sure that it won't be a 100-bagger. Unless it strikes oil!"

There are other wrinkles to Berry's research that add to this insight.

First, know that the difference between a gross profit margin and an operating profit margin is expenses often dubbed SG&A — for selling, general and administrative — overhead, in other words.

These operating expenses are volatile. When an underperformer improves, this is often an area where you see the improvement. Put another way, if gross margins are sticky and persistent, then a good turnaround candidate would be one with a high gross profit margin and a low operating margin.

The latter is easier to fix than the former.

And bigger companies tend to cement their advantages. "Larger companies appear able to sustain returns for longer by finding efficiencies in SG&A that small companies cannot," Berry writes.

Finally, a track record of high performance is a useful indicator. Winners tend to remain winners. This makes sense, since high performance usually comes from some competitive advantage. And these advantages do not tend to "disappear overnight."

I can hardly do justice to Berry's robust paper and its many facets. I will simply try to draw a conclusion on moats that will be useful in hunting for 100-baggers.

I'd sum up this way: It is great to have a moat, but true moats are rare and not so easy to identify all the time. Therefore, you should look for clear signs of moats in a business — if it's not clear, you probably are talking yourself into it— you may also want to find evidence of that moat in a firm's financial statements. Specifically, the higher the gross margin relative to the competition, the better.